FNCE30007 Mid-Semester Test 2026 Sem 1 - Tuesday Stream
Solution

Question 1: C
For a long hedge, the effective purchase price is F1 + b2. If the basis (spot - futures) weakens before close-out, b2 falls, so the effective price paid is lower than expected.

Question 2: D
Daily settlement can create cash-flow pressure through margin calls, and short-dated contracts that must be rolled can expose the hedger to rollover losses.

Question 3: B
The article linked the drop in hedging to much higher margin or financing needs and to the view that extreme cocoa prices might fall.

Question 4: E
A steeper prompt-deferred spread under shortage conditions points to a higher convenience yield and a deeper backwardation.

Question 5: C
Required contracts = ((1.30 - 0.70) x 21,000,000) / (4,200 x 50) = 60. To raise beta, the manager goes long futures.

Question 6: A
No-arbitrage futures price = 1,200e^(0.02 x 0.5) + 8 approx 1,220.06. Since the quoted futures price is 1,226.12, the futures is overpriced by about 6.06. Use cash-and-carry: buy spot financed by borrowing and short futures.

Question 7: B
Gain on the short position = (4.30 - 4.22) x 5,000 x 6 = 2,400. Margin balance rises from 12,000 to 14,400, so up to 2,400 may be withdrawn.

Question 8: D
A standard pro-hedging argument is that firms should focus on core operations rather than speculate on market variables. A standard counterargument is that diversified shareholders can choose their own hedges.

Question 9: E
Industry classification uses current spot versus futures: 70 > 68, so the market is in industry backwardation. Normal classification uses expected future spot versus futures: 69 > 68, so it is also in normal backwardation.

Question 10: B
An exporter expecting to receive euros is naturally long EUR. To lock in the AUD value, it should short EUR forward.

Question 11: A
For a put, intrinsic value = max(50 - 47, 0) = 3.00. Time value = 5.20 - 3.00 = 2.20.

Question 12: D
A European put cannot be worth more than the present value of the strike, K e^(-rT). Volatility raises option value, and an American put is at least as valuable as the corresponding European put.

Question 13: C
A dispersion trade benefits when individual stocks move a lot on their own while index volatility stays relatively contained.